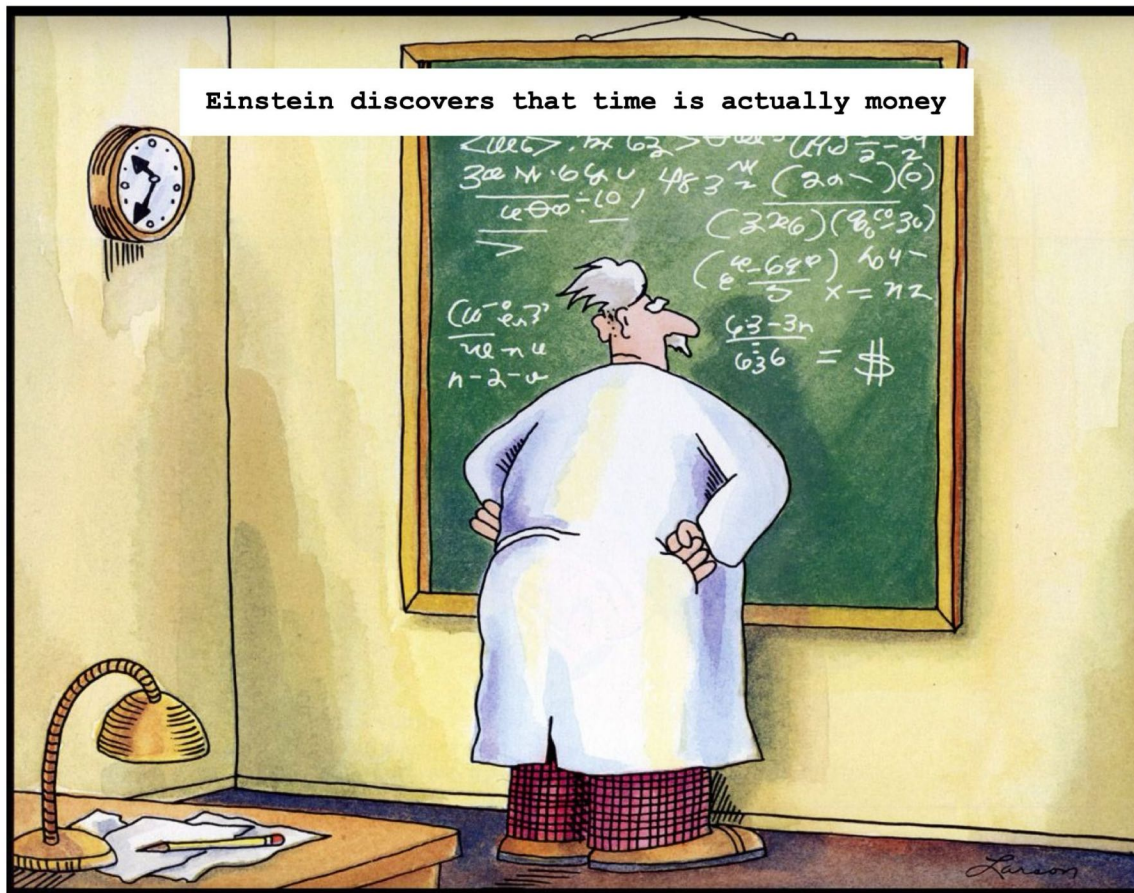




Why I Never Sold an IFA

David E. Kakon, B.Sc. (Math Hons.) – October 2026

Industry discussion of Immediate Financing Arrangements (IFAs) has recently turned to the tax shelter rules in subsection 237.1(1) and the limited-recourse debt rules in section 143.2 of the Income Tax Act (ITA), alongside statements from the Canada Revenue Agency (CRA) at its 2026 roundtable about auditing insurance-based tax planning. A fair and direct question is frequently put to me:

"If the tax shelter registration rules were an industry blind spot, it was a blind spot for you as well. Given your math background, licensing, and access to high-net-worth clients, why did you NOT sell any IFAs?"

Like most of the wealth planning industry, I was not analyzing IFAs through the specific statutory mechanics of subsection 237.1(1) at the time. I was not a tax shelter specialist, nor did I claim foresight of the exact statutory provisions the CRA would deploy. Yet, despite strong market demand and the commercial appeal of pitching "free insurance" to corporate clients, I never sold a single IFA.

My decision rested on standard underwriting and risk-management principles. When stress-testing an IFA across a multi-decade time horizon, the strategy introduces a manageable set of organic market risks alongside a single inorganic, asymmetric regulatory exposure that renders, in my analysis, the entire structure unsound for lifelong estate planning.

Organic Market Risks (Manageable & Transparent)

In a standard financial evaluation, market-driven risks are transparent, governed by macroeconomic forces no single entity controls, and can be modelled conservatively:

1. Interest Rate Risk (Cost of Capital): Replacing a finite premium obligation with lifelong floating-rate debt creates an annual cash-flow burden. While rising interest rates increase carrying costs, this is a standard economic risk that can be stress-tested against historical yield curves.

2. Policy Dividend Risk (Asset Performance): Participating policy growth depends on the insurer's non-guaranteed dividend scale. While the client lacks direct control over carrier yields, participating whole life policies feature predictable cash values and dividend additions that cannot be reduced due to market volatility once credited, protecting against direct negative market resets.

3. Credit & Refinancing Risk (Banking Risk): The risk of a financial institution calling a demand loan is relatively low because institutional life insurance cash surrender value (CSV) represents high-quality, liquid collateral. As long as borrowing remains within prescribed lending caps, collateral risk remains contained.

A sophisticated client, properly advised, can evaluate these organic risks and make a deliberate commercial choice to accept them.

Inorganic Regulatory Risk (The Structural Vulnerability)

The critical flaw in an IFA is not market performance; it is legislative vulnerability.

Under paragraph 20(1)(c) of the Income Tax Act, Parliament established a clear statutory principle: interest on money borrowed to pay life insurance premiums is explicitly non-deductible. An IFA relies on an engineered "sequencing arbitrage"—paying the premium out of pocket first, and then immediately borrowing a sum to invest—to technically establish tax-deductible interest through tracing. While this two-step sequence appears compliant on paper, it creates a statutory risk profile driven by two structural realities:

A. Duration Exposure

An IFA is not a one-time tax deduction in the year of execution. Its financial viability relies on uninterrupted annual tax deductions every single year for, in some cases, 30 to 50 years.

B. Sovereign Counterparty Risk

The entity on the other side of this transaction is the governing tax authority—a single counterparty that holds a clear financial interest in enforcing the spirit of paragraph 20(1)(c) and possesses the unilateral authority to amend tax legislation.

Crucially, this risk does not depend on retroactive legislation. When Parliament closed the 10/8, it provided no grandfathering beyond a transition to 2014. Grandfathering was a political choice then, and it would be one again. Even if Parliament or the CRA acts strictly prospectively, disallowing *future interest*

deductions on existing arrangements, the funding structure of the IFA could quickly become unsustainable under the weight of its own compounding, non-deductible debt.

If those deductions are eliminated even 10, 15, or 20 years into the strategy, the client faces a severe dilemma: pay out-of-pocket interest charges that could far exceed the cost of unfinanced insurance, or surrender the policy to clear the debt. Surrendering the policy would likely subject the client to taxable policy gains (at the highest tax rates) due to the erosion of the policy's Adjusted Cost Base (ACB) over time. By that point, the client would be significantly older and potentially uninsurable, leaving their estate permanently stripped of the protection it originally required.

Historical Continuity: The Warning Shots

Promoters of leveraged insurance strategies often present IFAs as a modern breakthrough in capital efficiency. From a historical perspective, however, these arrangements share structural characteristics with recurring planning patterns that attempt to bundle debt facilities with statutory tax deductions to broadly eliminate out-of-pocket costs.

This dynamic played out in 2013 when the Federal Government acted to eliminate the unintended tax benefits of "10/8" arrangements and Leveraged Insured Annuities (LIAs), causing significant disruption to the insurance industry and affecting policyholders. At that time, the Department of Finance issued an explicit warning regarding future leveraged insurance planning.

The 2013 Budget materials warned, for both 10/8s and LIAs, that "if structures or transactions emerge that undermine the effectiveness of the measure," the Government would "evaluate whether further action is warranted, with possible retrospective application" (the 10/8 passage says "retroactive"). Contemporary commentary on the Budget measures noted that, in either case, the statement was difficult to ignore, and treated the question of whether replacement strategies would fall within it as an open one. Whether an IFA is such a structure is likewise an open question. In my reading, it is the type of structure that warning contemplated.

The Tax Court's recent decision in *Honey*, which upheld the reassessments of an integrated 10/8 structure, is not an IFA case, but it shows how a court treats packaged insurance-and-credit arrangements. Assuming authorities would permanently tolerate such a structure was a risk I was unwilling to pass on to my clients.

The Commercial Reality of Leveraged Compensation

There is also a structural industry reality regarding compensation that must be acknowledged.

Consider an illustrative example:

When funding a \$1 million net insurance need via a standard, unfinanced policy, advisor compensation is calculated based on the premium required to secure that \$1 million of coverage.

When structuring that same \$1 million net outcome through an IFA—which, purely as a simplified illustration, might involve issuing a \$5 million policy paired with a \$4 million bank loan to yield a \$1 million net death benefit—the commission base is calculated on the premium of the full \$5 million policy.

While leverage compensation is not the driving force for fiduciary professionals, it remains a commercial fact that selling an IFA significantly inflates the advisor's commission base compared to conventional, unleveraged alternatives.

The Human & Financial Cost of Regulatory Conflict

Beyond tax arithmetic lies a fiduciary consideration: the human and financial cost of regulatory conflict.

To the extent the CRA turns its audit programs toward IFAs, one outcome is highly likely: regardless of how individual court challenges eventually resolve, the process itself will be deeply disruptive and costly for participating taxpayers:

- **Administrative Freeze:** Prolonged CRA audits, frozen corporate tax files, and legal delays.
- **Compounding Interest:** Accrual of non-deductible arrears interest on contested tax reassessments during multi-year appeals.
- **Destruction of Peace of Mind:** Converting an asset purchased for estate certainty into a confrontation with tax authorities.

Life insurance is acquired to deliver absolute certainty when an estate needs it most. Recommending an estate strategy living in the crosshairs of aggressive tax planning audit programs (TPAC/ATP) fundamentally compromises that core purpose.

Risk-Adjusted Cost of Capital Analysis

When these risks are evaluated quantitatively, the narrative of "free insurance" collapses. An IFA does not eliminate the cost of life insurance; it trades a known premium schedule for a lifelong, compounding after-tax debt obligation.

My internal gating requirement for evaluating an IFA was straightforward: if I could be shown a model that remained economically viable absent the assumed tax deductions, I would have considered recommending it. I was never able to build such a model, nor was I ever presented with one. It is mathematically clear that without the annual tax deductions, the structure simply collapses under the weight of compounding interest. For years, I advised prospective clients to ask their promoting broker for an alternate illustration with the tax deductions removed. I cannot recall a single instance where a broker agreed to provide one, likely because exposing the raw, unmitigated debt load would have immediately collapsed the sale.

In my financial models, when stress-testing an IFA against realistic interest rate cycles, conservative dividend scales, and potential regulatory friction, the Net Present Value (NPV) of carrying decades of after-tax interest payments closely approaches the cost of a standard, unfinanced permanent policy (such as Term-100 or traditional Universal Life).

The trade-off is stark: a standard unfinanced policy delivers a guaranteed estate outcome with minimal regulatory exposure, whereas an IFA requires the client to assume massive structural and legislative risk for a marginal financial difference over a lifetime.

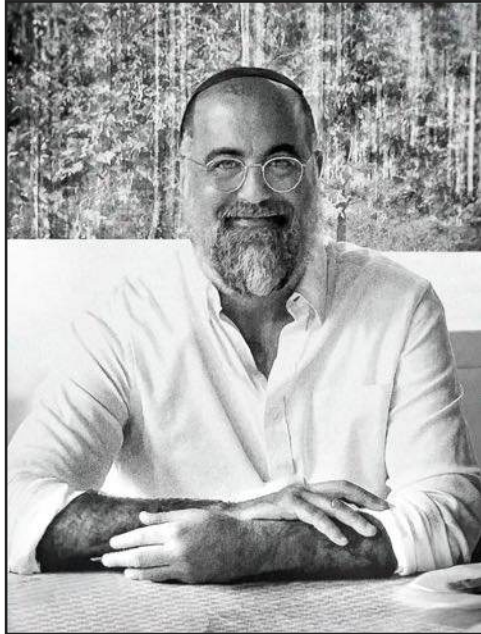
Conclusion

My decision to avoid marketing IFAs was rooted in fiduciary duty. A multi-generational wealth strategy should never depend on a fragile technical workaround that conflicts with statutory intent.

I did not need the tax shelter provisions memorized to recognize that a plan engineered to circumvent paragraph 20(1)(c) was living on borrowed time. The tax shelter rules did not spontaneously create the flaw in IFAs—they operate as a broad statutory framework that now captures it. Where long-term solvency depends on the uninterrupted allowance of a contested tax deduction over decades, the prudent, risk-adjusted decision has always been to utilize conventional, unencumbered funding strategies.

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